



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the year ended 31 March 2020

For the	Quarter Ended 31 March		Year ended 31 March		Variance
	2020 Rs.	2019 Rs.	2020 Rs. Unaudited	2019 Rs. Audited	
Income	800,624,099	847,736,756	3,285,237,560	3,493,414,220	-5.96%
Interest income	723,723,719	788,950,704	3,052,677,796	3,239,037,768	-5.75%
Interest expenses	(406,951,407)	(483,980,658)	(1,780,679,307)	(1,949,919,167)	-8.68%
Net interest income	316,772,312	304,970,046	1,271,998,489	1,289,118,601	-1.33%
Fee and commission income	48,874,982	42,321,689	162,802,070	179,130,466	-9.12%
Other operating income	28,025,398	16,464,363	69,757,694	75,245,986	-7.29%
Total operating income	393,672,692	363,756,098	1,504,558,253	1,543,495,053	-2.52%
Impairment charges for loans and receivables to customers	(288,795,183)	(127,144,115)	(1,014,789,196)	(569,295,204)	78.25%
Net operating income	104,877,510	236,611,983	489,769,058	974,199,849	
Operating expenses					
Personnel expenses	(83,173,779)	(91,793,328)	(427,044,060)	(387,926,335)	10.08%
Depreciation and amortization	(37,667,242)	(8,608,816)	(62,884,979)	(28,558,126)	120.20%
Other operating expenses	(68,025,110)	(102,344,232)	(425,528,584)	(462,747,489)	-8.04%
Operating profit/(loss) before Value Added Tax and NBT	(83,988,621)	33,865,607	(425,688,565)	94,967,899	548.24%
Value Added Tax and NBT on financial services	(3,707,179)	(10,915,568)	(11,658,516)	(63,092,637)	-81.52%
Profit/(loss) before income tax	(87,695,800)	22,950,039	(437,347,081)	31,875,262	1472.06%
Income tax expense	-	-	-	(2,846,204)	-100.00%
Profit/(loss) for the year	(87,695,800)	22,950,039	(437,347,081)	29,029,058	1606.58%
Other Comprehensive Income					
Change in fair value of financial assets at fair value through other comprehensive income	(4,179,711)	(89,479)	(1,069,031)	855,067	-225.02%
Revaluation of Land and Building	-	-	-	32,032,082	-100.00%
Deferred tax effect on above	-	-	-	(3,203,208)	-100.00%
Actuarial gain/(loss) on retirement benefit plan	(719,951)	-	(719,951)	1,775,361	-140.55%
Deferred tax effect on above	-	-	-	497,101	-100.00%
	(92,595,462)	22,860,560	(439,136,063)	60,985,461	820.07%
Basic earnings per share (Rs.)	(0.53)	0.16	(2.63)	0.20	
Diluted earnings per share (Rs.)	(0.53)	0.16	(2.63)	0.20	
Dividend per share (Rs.)	-	-	-	-	

Figures in brackets indicate deductions.

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ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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As At 31st March

	2020 Rs. Unaudited	2019 Rs. Audited	Variance
ASSETS			
Cash and cash equivalents	70,618,412	181,741,883	-61%
Financial assets - fair value through other comprehensive income	934,478,086	936,939,610	-0.3%
Loans and receivables	12,339,298,075	14,033,759,660	-12%
Investments with banks and other financial institutions	82,492,401	286,253,330	-71%
Other assets	279,432,153	252,392,826	11%
Real estate stock	16,772,709	16,772,709	0.0%
Deferred tax asset	371,088,940	371,088,939	0.0%
Goodwill	564,545,746	564,545,746	0.0%
Brand value	235,880,000	235,880,000	0.0%
Intangible assets	805,470	1,505,430	-46%
Property, plant and equipment and Right-of-use of Assets	204,075,355	78,163,766	161%
Investment properties	538,250,000	400,600,002	34%
Total assets	15,637,737,347	17,359,643,901	-10%
LIABILITIES			
Due to banks - bank overdrafts	265,514,298	610,624,135	-57%
Deposits from customers	9,007,732,231	10,479,531,283	-14%
Interest bearing borrowings	3,038,038,298	2,091,868,611	45%
Term debts	0	1,012,265,985	-100%
Redeemable preference shares	0	512,216,926	-100%
Other liabilities	573,454,067	436,331,176	31%
Retirement benefit obligations	42,587,258	50,305,976	-15%
Total liabilities	12,927,326,152	15,193,144,092	-15%
EQUITY			
Stated capital	2,431,879,039	1,378,689,779	76%
Statutory reserve fund	311,080,742	306,478,542	2%
Revaluation reserve	141,120,773	141,120,773	0%
Available for sale reserve	0	1,069,031	-100%
Retained earnings	(173,669,359)	339,141,684	-151%
Total equity	2,710,411,195	2,166,499,809	25%
Total equity and liabilities	15,637,737,347	17,359,643,901	-10%
Net assets per share	12.84	14.64	

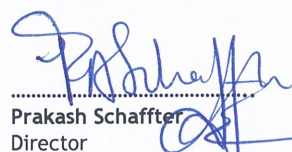
Figures in brackets indicate deductions.

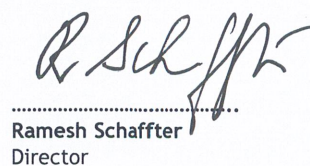
The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.


Sanjeeva Jayasinghe
Head of Finance


K.M.M. Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Approved and signed for and on behalf of the Board;


Prakash Schaffter
Director


Ramesh Schaffter
Director

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ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the year ended 31st March 2020

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Fair value reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April 2018	1,378,689,779	305,274,930	112,291,899	213,964	309,043,776	2,105,514,348
Profit/(Loss) for the year	-	-	-	-	29,029,058	29,029,058
Other comprehensive income net of taxes	-	-	-	855,067	2,272,462	3,127,529
Revaluation gain on land and Buildings	-	-	32,032,082	-	-	32,032,082
Transfer to statutory reserve	-	1,203,612	-	-	(1,203,612)	-
Deferred tax effect on revaluation			(3,203,208)			(3,203,208)
Balance as at 31st March, 2019	<u>1,378,689,779</u>	<u>306,478,542</u>	<u>141,120,773</u>	<u>1,069,031</u>	<u>339,141,684</u>	<u>2,166,499,809</u>
Impact from adoption of SLFRS 16						
Profit/(Loss) for the year	-	-	-	-	(437,347,081)	(437,347,081)
Other comprehensive income (expense) net of taxes	-	-	-	(1,069,031)	(719,951)	(1,788,982)
Revaluation of land and buildings	-	-	-	-	-	-
Deferred tax effect on revaluation	-		-	-		-
Transfer to statutory reserve (Note 35.2)	-	4,602,200	-	-	(4,602,200)	-
Transactions with Equityholders						-
Conversion of Preference Share Capital to Ordinary Shares	470,038,111	-	-	-	-	470,038,111
Conversion of Accrued Preference Share Interest to Ordinary Shares	76,508,375	-	-	-	-	76,508,375
Write off of share premium generated in share conversion	-	-	-	-	(70,141,811)	(70,141,811)
Right issue of shares	506,642,774	-	-	-	-	506,642,774
Balance as at 31st March, 2020	<u>2,431,879,039</u>	<u>311,080,742</u>	<u>141,120,773</u>	<u>-</u>	<u>(173,669,359)</u>	<u>2,710,411,195</u>

Figures in brackets indicate deductions.

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ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

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For the year ended 31st March

Cash flows from operating activities

Profit/(loss) before income tax expense

Adjustment for:

Depreciation/amortization

Profit on disposal of property, plant and equipment

Impairment charges for loans and receivables to customers

Finance expenses

Profit on sale of real estate

Investment income

Provision for gratuity

Right of Use Asset Depreciation

Right of Use Asset Finance Cost

Operating profit/(Loss) before working capital changes

Change in loans and receivables to customers

Change in other assets

Change in deposits from customers

Change in other liabilities

Rent Paid

Interest paid

Income tax paid

Gratuity paid

Net cash from/(used in) operating activities

Cash flows from investing activities

Acquisition of property, plant and equipment and intangible assets

Proceeds from sale of property, plant and equipment

Proceeds from sale of real estate

Net change in available for sale financial assets

Net change in investments with bank and other financial institutions

Investment income received

Net cash generated from/(used in) investing activities

Cash flows from financing activities

Interest bearing borrowings obtained

Repayment of interest bearing borrowings

Interest Paid on Borrowings

Interest paid on debentures

Redemption of Preference shares

Redemption of Debentures

Right issue of shares

Dividend paid

Net cash generated from/(used in) financing activities

Net change in cash and cash equivalents

Cash and cash equivalents at the beginning of the year

Cash and cash equivalents at the end of the year (Note A)

Analysis of cash and cash equivalents at the end of the year

Cash in hand

Cash at bank

Bank overdrafts - secured

2020	2019
Rs.	Rs.
(437,347,081)	31,875,262
34,401,264	29,028,616
(260,675)	(52,313)
1,014,789,196	569,295,204
1,780,679,307	1,949,919,167
-	-
(114,577,128)	(156,669,506)
10,217,160	10,732,336
29,183,673	-
19,028,537	-
2,336,114,252	2,434,128,766
542,022,391	(435,576,803)
(27,039,327)	(42,289,097)
(1,434,715,124)	(1,329,754,438)
19,181,696	(26,653,296)
1,435,563,888	599,855,132
(59,165,572)	-
(1,295,885,791)	(1,850,685,994)
-	(12,840,738)
(18,655,827)	(10,524,884)
61,856,698	(1,274,196,484)
(30,740,368)	(59,547,042)
282,706	-
-	7,006
1,392,493	9,474,901
203,380,071	468,220,927
114,957,986	156,669,506
289,272,888	574,825,298
7,283,733,569	4,578,904,726
(6,359,055,739)	(4,275,006,688)
(398,979,517)	-
(90,195,165)	(90,500,000)
(59,289,140)	-
(1,000,000,000)	-
506,642,774	-
-	-
(117,143,218)	213,398,038
233,986,368	(485,973,148)
(428,882,252)	57,090,896
(194,895,886)	(428,882,252)
62,617,606	162,415,514
8,000,806	19,326,369
(265,514,298)	(610,624,135)
(194,895,886)	(428,882,252)

Figures in brackets indicate deductions.

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8 FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the year ended 31 March	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Total	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
Interest income	2,338,403,999	2,494,208,042	310,882,396	467,925,509	53,632,255	117,765,696	349,759,147	159,138,521	3,052,677,796	3,239,037,768
Fee and commission income	148,749,131	160,654,792	8,717,242	6,746,935	5,335,697	10,613,532	-	1,115,207	162,802,070	179,130,466
Other income	53,400,620	55,809,134	4,589,925	11,156,506	919,342.03	2,713,298	5,447,808	5,567,048	69,757,694	75,245,986
Total segmental income	2,540,553,750	2,710,671,968	324,189,563	485,828,950	59,887,294	131,092,526	355,206,954	165,820,776	3,285,237,560	3,493,414,220
Less: Interest expense	(1,294,424,409)	(1,461,233,963)	(203,692,452)	(289,108,911)	(40,798,716)	(70,312,207)	(241,763,731)	(129,264,086)	(1,780,679,307)	(1,949,919,167)
Segmental results	1,246,129,341	1,249,438,005	120,497,111	196,720,039	19,088,578	60,780,319	113,443,224	36,556,690	1,504,558,253	1,543,495,053
Depreciation and amortization	(45,712,808)	(21,181,253)	(7,193,432)	(4,234,231)	(1,440,813)	(1,029,779)	(8,537,925)	(2,112,863)	(62,884,979)	(28,558,126)
Impairment charge	(784,514,837)	(412,369,688)	(154,154,296)	(30,651,220)	(71,286,151)	(131,028,381)	(4,833,911)	4,754,088	(1,014,789,196)	(569,295,201)
Other Expenses	(618,998,892)	(701,769,927)	(97,406,539)	(141,429,069)	(19,510,108)	(71,467,434)	(85,612,376)	(29,100,035)	(864,231,160)	(913,766,464)
Income tax	-	-	-	-	-	-	-	(2,846,204)	0	(2,846,204)
Profit/(loss) after tax	(203,097,197)	114,117,137	(138,257,157)	20,405,519	(73,148,494)	(142,745,274)	14,459,012	7,251,676	(437,347,081)	29,029,058
Segmental assets	11,363,429,825	12,831,672,396	1,788,165,355	2,599,104,379	358,161,773	623,963,802	2,122,383,637	1,304,903,325	15,637,737,347	17,359,643,902
Segmental liabilities	9,387,848,992	11,268,590,699	1,477,285,167	2,252,643,811	295,893,818	547,850,139	1,753,398,173	1,124,059,443	12,927,326,152	15,193,144,092

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2019, except for the Accounting Policies and methods of computation adopted to be in compliance with the requirement of the Sri Lanka Accounting Standard SLFRS 16 - "Leases", which became effective from January 01, 2019. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract (i.e. Lessee and Lessor). SLFRS 16 replaced LKAS 17 - "Leases" and related interpretations. The Company has adopted SLFRS 16 using modified retrospective method from 1 April 2019, without restating comparative information. Instead, it has recognized the cumulative effect of initially applying this standard as an adjustment to the opening balance of Retained earnings at the date of initial application, as permitted under the specific transitional provisions in the standard. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.

- 2 Subsequent to the outbreak of COVID -19 in Sri Lanka, the Company has provided relief for the affected businesses and individuals in line with the directions issued by the Central Bank of Sri Lanka. The company is continuously assessing possible disruption due to COVID-19 pandemic. The relief measures include deferment of repayment terms of credit facilities, offering concessionary rates of interest to eligible loan products and waiving off certain fees and charges

Company has used Probability of Default (PD) factor adjustment to assess the expected credit losses as at 31 March 2020 due to uncertainties and lack of sufficient information available to make any adjustments to factor the impact of COVID 19. However the Company has increased the weightage assigned to worst case scenario as at 31 March 2020 to capture potential impact of COVID 19.

- 3 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.

- 4 The Company has issued 35,183,526 Ordinary Voting Shares in the proportion of one (1) new Ordinary Voting Shares for every five (5) Ordinary Voting Shares in the capital of the Company by way of a Rights Issue amounting to Rs. 506,642,774.40 to the holders of the issued Ordinary Voting Shares of the Company at a price of Rs. 14.40 per share. The Ordinary Shares so issued have been listed in the Colombo Stock Exchange (CSE) on 28th February 2020.

- 5 All known expenses have been provided for in these Financial Statements.

- 6 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2020.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

Value of Ordinary Shares (Rs.)
No. of Ordinary Shares

31/03/2020

2,431,879,039

211,101,155

31/03/2019

1,378,689,779

148,018,370

Share Price During the Period**For the Quarter Ended**

31/03/2020

31/03/2019

Highest (Rs)

12.70

17.40

Lowest (Rs)

6.00

12.80

Closing (Rs)

6.10

13.00

NOTES TO THE FINANCIAL STATEMENTS

Shareholders as at 31st March 2020

	Name	No. of Shares	%
1	Janashakthi PLC	196,010,494	92.85
2	First Capital PLC	2,138,299	1.01
3	Mr. L.P.Mendis	696,103	0.33
4	Seylan Bank Plc/ S.R. Fernando	490,839	0.23
5	Mr. R.A.B.K.Kumara	500,000	0.24
6	Mr. K.S.S. Peris	382,814	0.18
7	Mr.N.L.S.Fernando	377,677	0.18
8	Mr. A.S.A.Fernando	336,100	0.16
9	M/S Commercial Credit And Finance Plc	330,000	0.16
10	Seylan Bank PLC/ K.L.G.Udayanda	231,365	0.11
11	Mr. G.A.C.De Silva	211,000	0.10
12	Mr.M.K.De Livera	207,628	0.10
13	Mr. R.M.P. Dayawansa	202,095	0.10
14	Mr. S.D.S. Gunasekera	200,000	0.09
15	M/S Merchant Bank of Sri Lanka & Finance PLC	200,000	0.09
16	Mrs. M. N. S. Fernando	195,523	0.09
17			0.09
	Merchant Bank of Sri Lanka & Finance PLC/D.L.J. Priyadarshana	191,903	0.00
18	Mr.D.N.F.G. Martinus	184,333	0.09
19	Mr.R.E.Rambukwella	154,989	0.07
20	Mr.P.G.Piyasiri	137,668	0.07
	Others	7,722,325	3.66
	Total	211,101,155	100.00

Directors' Shareholding as at 31st March 2020

	Name of the Director	No. of Shares	%
1	Dr. D.C. Jayasuriya PC - Chairman	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Mr.R.M.D.J.Ratnayake	-	-
4	Mr. K. M. A. T. B. Tittawella	-	-
5	Ms. Minette D. A. Perera	-	-
6	Ms. Indrani Goonesekara	-	-
7	Mr. Kather Meerasahim Mohamed Jabir	-	-
8		10	-
	Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	-	-
9	Mr. Nawalage Sriyan Suresh cooray		
	Total	20	

CEO's Shareholding as at 31st March 2020

Mr. K.M.M. Jabir	-	-
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Public Holding as at 31st March 2020

Number of Public Shareholders	12,952,282	
Public Shareholding Percentage	1,057	
Float Adjusted market capitalization (Rs)	6.14%	
	79,065,827	

According to the option 2 of 7.13.1 (b) of the listing rules the company is non compliant with the minimum public holding requirement as at 31 March 2020. The company is in the process of taking corrective actions. An exemption by the CSE has been granted in term of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement up to 4th June 2020.